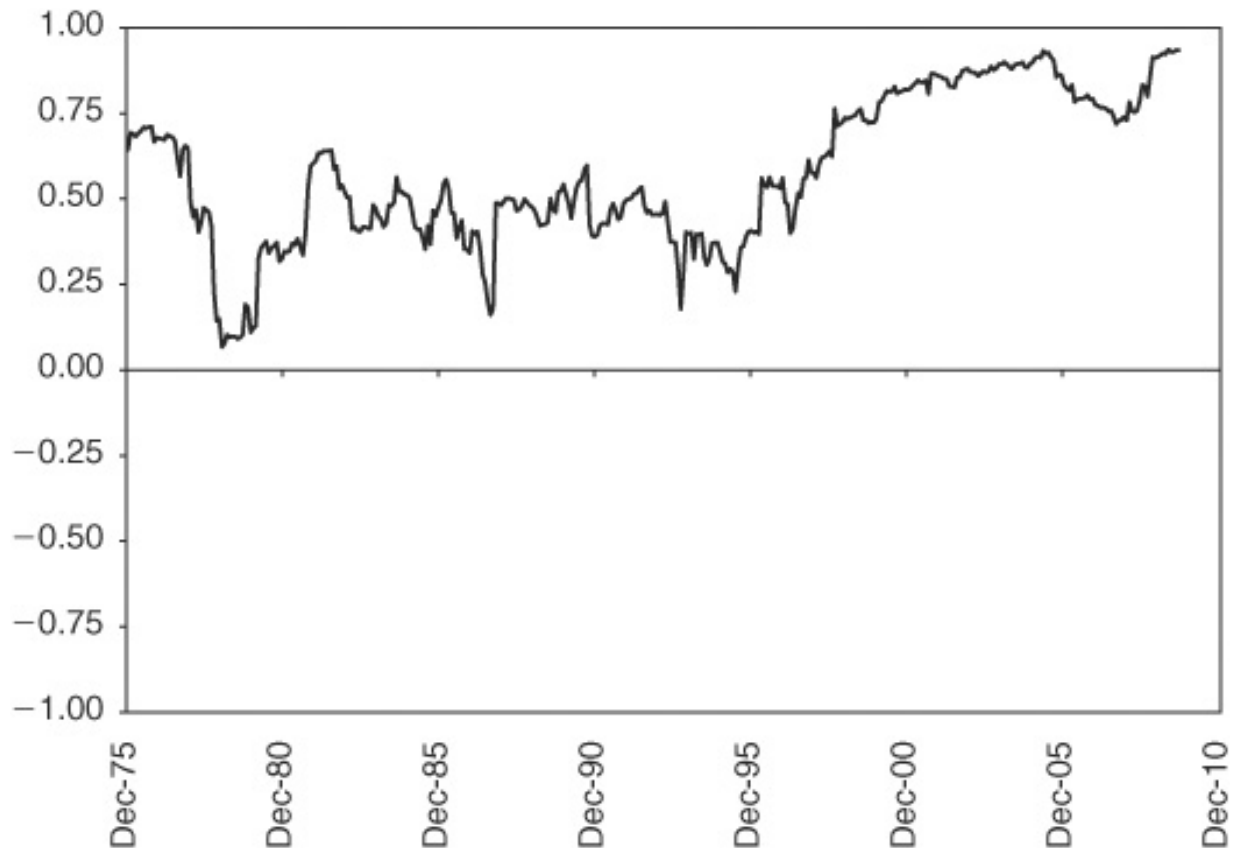


may turn at any time. There is still a diversification benefit even with high current correlations, as you will see next.

FIGURE 7-3

MSCI EAFE in U.S. Dollars and Total U.S. Market, Rolling 36-Month Correlation



DECOMPOSING THE EAFE INDEX

To gain a better understanding of international investing, it helps to drill down to the performance and correlations of the underlying regions that make up the EAFE Index. The EAFE can be broken down into two separate geographical indexes: the MSCI Europe Index and the MSCI Pacific Rim Index. [Figure 7-4](#) gives you a visual impression of how different the returns for different geographical regions can be. As you see, at times the returns of all regions can be similar, such as in 2008, and at other times they can differ substantially, such as in 2005.